Crowd-Out and Competition: How Non-Governmental Development Programs Shape Public Spending

Blaine Finstein

University of California, Los Angeles

2025-12-04

Motivation

- NGOs finance billions in public services annually
- When NGOs deliver public services, **do politicians reallocate?**
- Classic concern: **crowd-out** — aid substitutes for local spending
- However, evidence is mixed. Political incentives may explain why

Central Question:

> Do NGOs provide perverse incentives to politicians to scale back public financing, and do electoral incentives constrain this behavior?

Democratic Institutions Matter

- In weakly competitive contexts:
  - Politicians redirect funds freed up by aid toward patronage or rents
- In competitive settings:
  - Voters monitor and punish neglect $\rightarrow$ maintain or increase spending
- **Electoral incentives transform the fiscal effect of aid**

Hypotheses

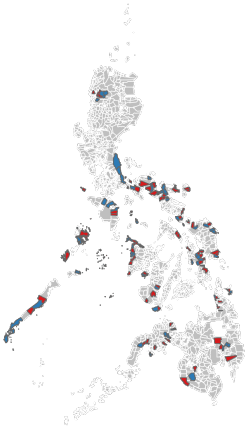
(1) Non-governmental development programs crowd out public spending
(2) Political competition mitigates crowd-out
(3) Crowd-out attenuates welfare returns from NGO programs

Empirical Context

The Kalahi-CIDSS Program

- World Bank–funded community-based development program in the Philippines.
- Grants given for small-scale projects from 2013-2015.
- **Randomized across municipalities** → causal identification.

Figure 1: Kalahi-CIDSS Evaluation Sample, Philippines



Empirical Strategy

$$Y_{irt} = \tau D_i + \beta_2(\text{Competition}_i) + \beta_3(D_i \times \text{Competition}_i) + X_{irt} + \epsilon_{rt}$$

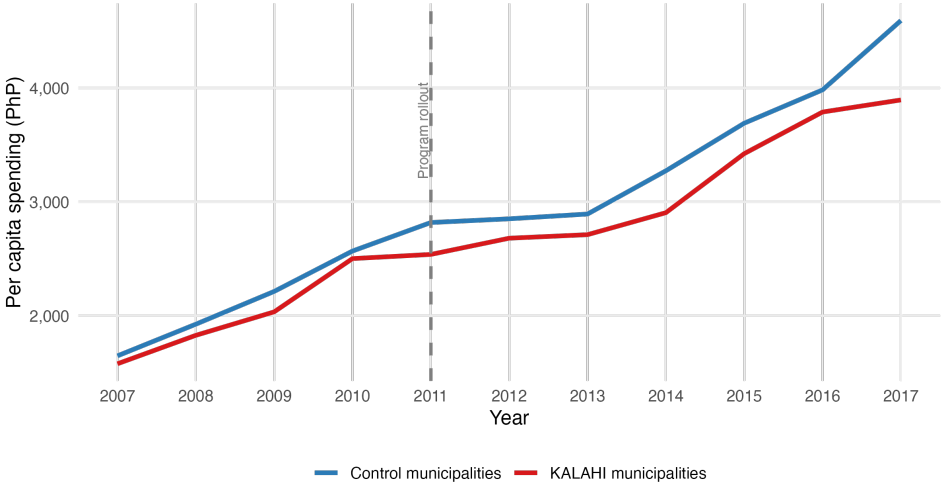
- Y_{irt}: per-capita municipal public service spending
- Competition_i: mayoral margin of victory
- Region and time fixed effects
- Randomized treatment facilitates causal inference on main effect (crowd-out), although conditional effect (political competition) is not randomized

Results

Descriptive Trends

Figure 2: Trends in municipal spending: KALAHI vs control municipalities

Spending per capita, 2007–2017; dashed line indicates program rollout



Notes: Average municipal spending from Bureau of Local Government Fiannce data.

Main Finding: NGO Programs Crowd Out Spending

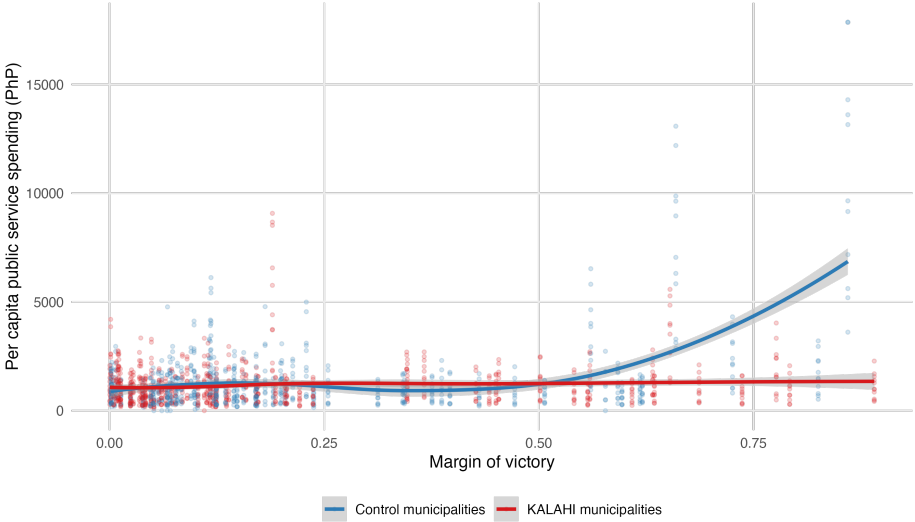
- Kalahi **reduced local per-capita spending** in overlapping sectors
- No offsetting increases elsewhere

Interpretation:
Even when aid bypasses state budgets, politicians substitute funds

Conditional Effect

Figure 3: Political competition moderates the effect of NGO presence on spending

Smoothed relationship between electoral competitiveness and per capita service spending



Note: Smaller margins of victory indicate higher competition.

Interpretation

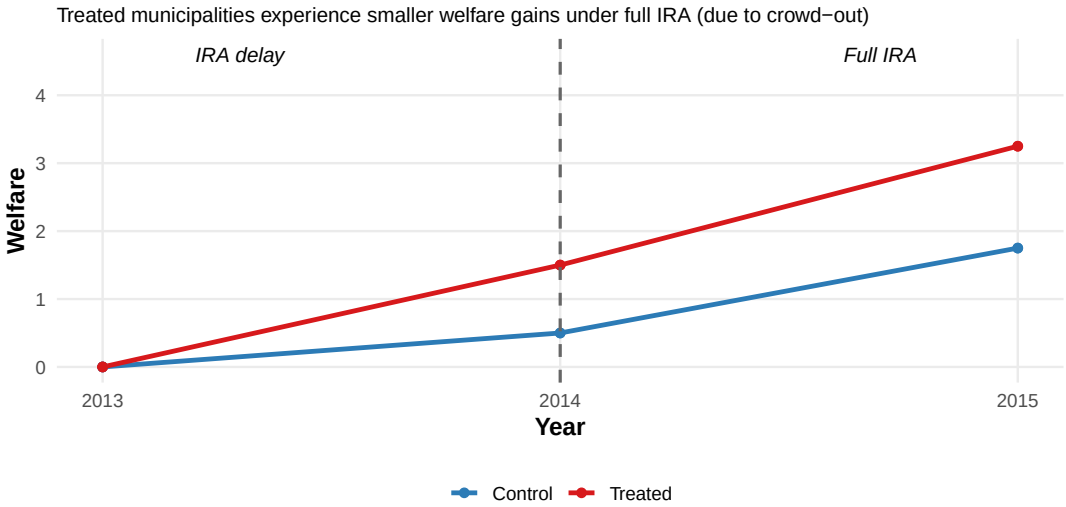
- Significant crowd-out under weak competition
- Spending sustained under electoral pressure

Welfare Implications

Shock to Financing from National Government

- Internal Revenue Allotment (IRA) constitutes approximately 80% of municipal revenue
- In 2013, delayed IRA transfers created **exogenous local fiscal shocks**
  - Department of Budget and Management routed funds through local offices rather than direct disbursement. Commission on Audit of the Philippines cannot account for nearly half of the IRA from that year
- This shock constrains spending while Kalahi was disbursed in full
- Comparing treated vs. control municipalities **before and after** the shock helps to isolate how fiscal substitution affects welfare outcomes (time still an issue)

Identification Strategy: IRA Shock and Welfare Outcomes



Note: stylized figure using dummy data

Fiscal Substitution Reduces Welfare Gains

- Kalahi improved welfare, but benefits shrink under full budgetary control
  - DiD results show 35% reduction in welfare treatment effect
- Results consistent with fiscal substitution undemrining program effectiveness, but suggestive

Questions:

> Are these results compelling?

> Should I consider other other avenues to explore impact of crowd-out on welfare?

Thank You!

Questions & Discussion

Blaine Finstein
University of California, Los Angeles
blainefinstein@ucla.edu